

Marxism and development

A critical view on development and power

Development Economics, Lecture 7

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The Development Puzzle - Revisited



(New) Institutional Economics:

Some countries have good (inclusive) institutions, others have bad (extractive) institutions. How can we change this?

Marxism:

- **Who benefits** from particular institutional arrangements?
- How are **development and underdevelopment** connected?
- What **power structures** perpetuate inequality?

Agreement

Institutions matter

Key tension

Development is relational

Learning objectives

- Understand **core Marxist concepts**:
 - Modes of production, primitive accumulation, class relations,...
- Understand the difference between the **two levels of ‘development’**:
 - Pre-Capitalism → Capitalism → Post-Capitalism
 - Development ‘within’ capitalism: world systems and core-periphery dynamics

Outline

- Part I (today): Marxism 101 - fundamentals of Marxist economics
 - Historical materialism and the mode of production
 - The four internal contradictions
 - Counteracting tendencies
 - Outlook: Lenin on how capitalism goes global
- Part II (next week): Marxism and development - a global view

Marxism 101

The mode of production

- The system that defines how society (re-)produces material existence
 - **Historical Materialism:** Shapes also its social, political, and intellectual life
- Always contains two components:

Forces of production
(Technology, tools, labor,...)

Relations of production
(Classes, ownership,...)

	Feudalism	Capitalism
Forces of production	Simple technology, little machinery or div. of labor	Advanced technology, complex div. of labor, innovation
Relations of production: Who owns?	Lords own land	Capitalists own means of production
Relations of production: Who works?	Peasants farm the land	Workers work at factories
Relations of production: Who gets surplus?	Lords extracts surplus through rent, force, taxes	Capitalists appropriate surplus value as profit

Marxism 101

Changes in the mode of production



Pre-Capitalism
Feudalism, Slavery

Primitive
Accumulation

Capitalism
Wage labor

Internal
Contradictions

Post-Capitalism
Socialism (?)

Marxism 101

Changes in the mode of production



- This stage-development is **not universal** (Africa, Asia,...)
- Primitive accumulation as **prerequisite** for capitalist mode of production:
 - **Separation** of producers from means of production
 - **Violent expropriation** (enclosures, colonialism, ...)

How does 'development' between stages work?
≠
How does 'development' work in a capitalist world?

Marxism 101

Production and control of surplus in capitalism

- Workers separated from means of production → sell their labor
 - **Double freedom** → wage relation appears voluntary
- The circuit of capital: $M \rightarrow C \rightarrow M'$
 - $M < M'$: money capital
 - C : Commodities
- Key features:
 - “Coercive laws of competition”: Capitalists forced to reinvest surplus $M' - M$
 - Requirement of continuous accumulation is **structural, not individual**
 - This creates instability through **internal contradictions**

Marxism 101

Four key contradictions of capitalism

- **Overproduction** crises
 - Workers cannot buy what they produce → overproduction
- **Financialization**
 - Fictitious capital: claims on future value (≠ real production)
 - Promises higher short-term surplus → value extraction rather than creation
- Spatial 'fixes' and **imperialism**
 - Expropriate pre-capitalist areas
 - Exploit less capital-intensive areas
- **Tendency of the rate of profit to fall**

Key contradictions of capitalism

The falling rate of profit

- It is about a **tendency** for the rate of profit (r) to fall:

$$r = \frac{s}{c + v} \quad \text{or} \quad r = \frac{s/v}{c/v + 1}$$

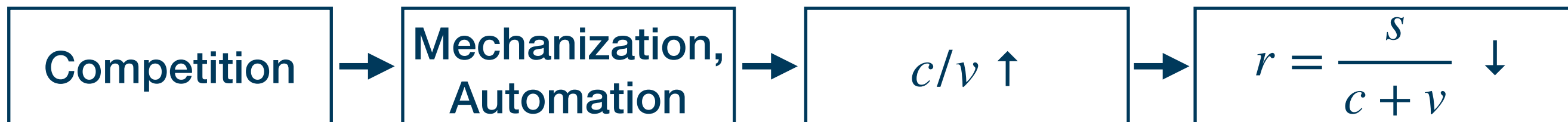
s : surplus value (profit)

c : constant capital (means of production)

v : variable capital (wages)

s/v : rate of exploitation (surplus per wage)

c/v : capital-intensity (organic composition)



- Since only workers create new value, profits fall despite more exploitation
- Foundation: **Labor theory of value**
 - Value: socially necessary labor time embodied in commodity
 - Machines just transfer existing value, workers create new value

Digression: The Labor Theory of Value

- Value = Socially necessary labor time embodied in a commodity

Machinery transfers value

- 10,000 EUR machine took 100 hours of social labor at 100 EUR to produce
- Transfers value gradually when used in production
- Example: produces 1000 units before wearing out → each unit gets 10 EUR of value

Workers create value

- Worker paid 20 EUR/hour (value of labor power = cost to reproduce worker)
- Example: Worker produces 40 EUR/hour worth of value
- 20 EUR difference → surplus value

- **Automation paradox:**

- Replace 10 workers with machine: $c/v \uparrow$
- Machine transfers existing value, doesn't create new value
- Source of surplus (v) reduced
- Even if more exploitation ($s/v \uparrow$): total surplus s falls relative to capital

The falling rate of profit

Counteracting tendencies

$$r = \frac{s}{c + v} \quad \text{or} \quad r = \frac{s/v}{c/v + 1}$$

- Increase exploitation: $s/v \uparrow$ (or even unsustainable ‘super-exploitation’)
- Cheapening constant capital: $c \downarrow$
- Destruction of capital through crises: $c \downarrow$
- Foreign trade and imperialism
 - Export capital to periphery regions with smaller $(c + v) \rightarrow r \uparrow$
 - But: periphery must not develop to keep advantage
 - Core-periphery hierarchy maintains profit opportunities

Exercise: The Bangladesh Garment Industry

- Read the background info on the Bangladeshi textile industry on the course webpage
- Analyze this situation through two different theoretical lenses -
 - New Institutional Economics (NIE)
 - Marxist Development Theory.



The Rana Plaza building in Bangladesh
April 24, 2013

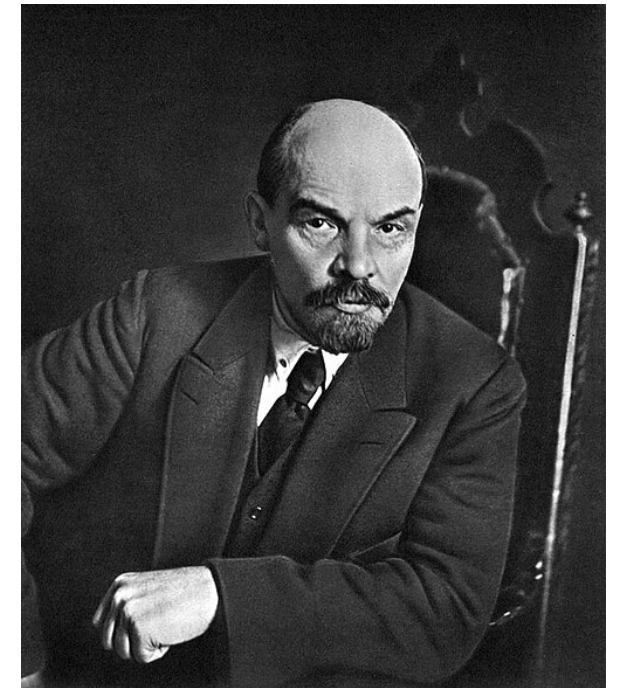
- How would each framework explain what happened and why?
 - Details given via the webpage

From Marx to Lenin: How capitalism goes global

Capitalism going Global

From Marx to Lenin: Imperialism as structural necessity

- Marx's focus: **competitive capitalism** (19th century UK)
 - Primitive accumulation as a one-time transformation
- The 20th century **puzzle**: capitalism did not collapse & workers supported WW I instead of uniting
- Lenin (1916): **capitalism evolved** into new stage
→ addresses internal contradictions by **expanding outwards**



Wladimir Iljitsch Lenin
(1870-1924)

Competitive capitalism

Marx – 19th century UK



Monopoly capitalism / Imperialism

Lenin – 20th century global economy

Monopoly capitalism and the engine of imperialism

	Marx's Competitive Capitalism	Lenin's Monopoly Capitalism
Market structure	Many competing firms	Concentration & Centralisation → Cartels, trusts, oligopolies
Dominant capital	Industrial capital	Finance capital (‘bank-industry fusion’)
International exchange	Commodity export	Capital export
Role of the state	Referee of competition	Active agent of capital expansion
Class conflict	National: Capital vs. Labor	Also Global: Imperialists vs. Colonised nations
Tendency	Towards crises and revolution	Towards colonial division
Stage in history	Dynamic, expanding	Parasitic, moribund, transitional

The labour aristocracy & the geographic shift

- Why no revolution in capitalist centers?
 - **Superprofits** from colonized regions → capitalists bribe a privileged stratum of domestic workers as the **labor aristocracy**
 - Class struggle **displaced geographically** → explains focus on anti-colonial struggles in contemporary Marxism
- Lenin shifted the main unit of analysis: **nation state** → **global system**

Core
Opressor

Periphery
Opressed

Summary and conclusion

Summary and outlook

- New Institutionalism: inclusive and extractive institutions
- Marxism: historical materialism and institutions of **exploitation**
 - Modes of production, primitive accumulation, class relations,...
- Distinguishes **two levels of ‘development’**:
 - Pre-Capitalism → Capitalism → Post-Capitalism
 - Development ‘within’ capitalism: contradictions & counteracting tendencies
- Lenin focuses on how **capitalism goes global**
 - Key inspiration for concepts covered in next session: World Systems Theory, Unequal Exchange, Colonialism, and Dependency theory